154 F. 4th 980, affirmed.

GORSUCH, J., delivered the opinion for a unanimous Court. THOMAS, J., filed a concurring opinion, *post*, p. 567.

Daniel L. Geyser argued the cause for petitioner. With him on the briefs were *Michael F. Qian*, *Angela M. Oliver*, *Tyler R. Creekmore*, and *Chloe Warnberg*.

Deputy Solicitor General Stewart argued the cause for respondent. With him on the brief were *Solicitor General Sauer*, *Kevin J. Barber*, *Tracey A. Hardin*, *Daniel Staroselsky*, *David D. Lisitza*, and *Kerry J. Dingle*.*

JUSTICE GORSUCH delivered the opinion of the Court.

The Securities and Exchange Commission (SEC) may sometimes seek a court order directing those who violate federal securities laws to disgorge their ill-gotten gains to wronged investors. This case presents the question whether, as a condition of securing that relief, the SEC must prove victims of the securities-law violation have suffered pecuniary loss.

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*Briefs of *amici curiae* urging reversal were filed for California Alternative Investments Association by *Keri Curtis Axel* and *Becky S. James*; for Former Securities and Exchange Commission Attorneys by *Nicolas Morgan, pro se*; for Investor Choice Advocates Network by *Rachel Frank Quinton*, *Sarah Heaton Concannon*, and *Nicolas Morgan*; for the Pacific Legal Foundation et al. by *Oliver J. Dunford*; for the Washington Legal Foundation by *Cory L. Andrews* and *Zac Morgan*; and for Kalistratos Kabilafkas et al. by *Matthew A. Ford* and *Arthur Kutoroff*. *Adam G. Unikowsky* filed a brief for the Chamber of Commerce of the United States of America as *amicus curiae* urging vacatur.

Briefs of *amici curiae* urging affirmance were filed for Better Markets, Inc., by *Dennis M. Kelleher* and *Dominick V. Freda*; for the Consumer Federation of America by *Victor Suthammanont* and *Gray Proctor*; and for Remedies and Restitution Scholars by *Elizabeth B. Wydra* and *Brianne J. Gorod*.

H. Hunter Bruton, *John L. Gibbons*, and *Noel Hudson* filed a brief for the Cato Institute as *amicus curiae*.

I

A

The SEC's disgorgement powers have a long and nuanced history. When Congress created the SEC in the 1930s, it did not authorize the Commission to seek monetary awards for violations of federal securities laws. Instead, "the only statutory remedy" the SEC could pursue was a judicial "injunction barring future violations of securities laws." *Kokesh* v. *SEC*, 581 U. S. 455, 458 (2017). With time, that changed. In 1990, for example, Congress provided the Commission with "a full panoply" of additional enforcement tools, including the power to "seek monetary penalties" for certain violations. *Id.*, at 459. But even then, nothing in statutory law expressly authorized the SEC to seek and receive a judicial order directing a defendant to disgorge his ill-gotten gains to wronged investors. See *id.*, at 458–459.

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Instead, that remedy emerged like this. Beginning in the 1970s, the SEC persuaded lower courts to order those who had violated federal securities laws to disgorge their unlawfully earned gains "as an exercise of th[e] [courts'] 'inherent equity power to grant relief ancillary to an injunction.'" *Id.*, at 458 (quoting *SEC* v. *Texas Gulf Sulphur Co.*, 312 F. Supp. 77, 91 (SDNY 1970)). At first, some courts seemed to conceive of this remedy as a type of "restitution" to victims. *SEC* v. *Texas Gulf Sulphur Co.*, 446 F. 2d 1301, 1307–1308 (CA2 1971). But eventually, the SEC began routinely seeking and obtaining disgorgement awards that went "beyond compensati[ng]" victims by sending disgorged funds "to the United States Treasury." *Kokesh*, 581 U. S., at 465, 467 (internal quotation marks omitted). Not only that, the sums disgorged often "exceed[ed] the profits" the defendant had "gained as a result of [his] violation." *Id.*, at 466.

This Court first addressed these developments in 2017 in *Kokesh*. There, the SEC argued that no statute of limitations applied to its actions seeking disgorgement. We dis-

agreed, observing instead that 28 U. S. C. §2462 imposes a 5-year limitations period for "'any civil fine, penalty, or forfeiture.'" 581 U. S., at 457 (quoting §2462). Given what disgorgement had become, we held, the remedy amounted to a civil penalty subject to §2462's limitations period. *Id.*, at 461–467. In reaching that holding, though, we expressed no "opinion on whether courts possess authority to order disgorgement in SEC enforcement proceedings" to begin with, nor did we express any "opinion . . . on whether courts have properly applied disgorgement principles in this context." *Id.*, at 461, n. 3.

We agreed to answer those questions three years later in *Liu* v. *SEC*, 591 U. S. 71 (2020). While the term "disgorgement" still appeared nowhere on the list of its statutory remedies, the SEC stressed that Congress had enacted 15 U. S. C. §78u(d)(5) in 2002, a provision allowing it to seek "any equitable relief that may be appropriate or necessary for the benefit of investors." And, the Commission argued, that statute's reference to "equitable relief" was broad enough to authorize its existing practice of seeking disgorgement awards. See *Liu*, 591 U. S., at 76–77.

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We agreed in part. Yes, we held, "equitable relief" can encompass a disgorgement remedy. See *id.*, at 85–87. But no, we added, the term "equitable relief" does not capture the kind of disgorgement the SEC had often sought in lower courts. See *id.*, at 85–92. And though we did not purport to set forth all "the bounds of traditional equity practice" applicable under §78u(d)(5), *id.*, at 87, we did identify some key limitations on the disgorgement remedy authorized by that statute's "equitable relief" language.

Among those limitations were these two. First, because equity seeks to "depriv[e] wrongdoers of their . . . profits from unlawful activity," we held that any remedy must be limited to the defendant's net profits (not total revenues) derived from his securities-law violations. *Id.*, at 79; see also *id.*, at 85, 91–92. Second, because equity aims to deliver

"wrongful gains" to "wronged victims"—a point reinforced by § 78u(d)(5)'s focus on "investors"—we concluded that any amounts the SEC secures must be "awarded for victims." *Id.*, at 79, 82–85, 89–90. Accordingly, we held that the SEC must "return a defendant's gains to wronged investors," contrary to its "practice of depositing a defendant's gains with the Treasury." *Id.*, at 88.

As much as it resolved, *Liu* left some questions unanswered. We did not decide whether the SEC may seek disgorgement when it is "infeasible to distribute the collected funds to investors." *Id.*, at 89. Nor did we decide what showing the Commission might have to make to prove "[in]-feasibility." *Ibid.*, n. 5. (Those questions remain for another day yet, as they have no bearing on this case.) *Liu* also left unaddressed what statute of limitations might apply to disgorgement actions under § 78u(d)(5). True, *Kokesh* had held that § 2462's 5-year limitations period governed actions seeking disgorgement because, at that time, the remedy amounted to a civil penalty. See 581 U. S., at 467. But going forward, *Liu* clarified, disgorgement would need to follow "traditional equitable principles," which do not confer the power to impose a "penalty." 591 U. S., at 85, 90; see also *Marshall* v. *Vicksburg*, 15 Wall. 146, 149 (1873) ("Equity never . . . lends its aid to enforce a . . . penalty"). So the question of what limitations period, if any, might attach to SEC disgorgement actions once again became uncertain.

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Six months after *Liu*, Congress again addressed the SEC's remedial powers. In doing so, it left intact the Commission's authority to seek "equitable relief" in § 78u(d)(5). But, in § 78u(d)(7), Congress now explicitly added "disgorgement" to the SEC's list of enforcement tools. And it provided that the SEC may seek "disgorgement under paragraph (7) of any unjust enrichment by the person who received such unjust enrichment as a result of" his securities-law violation. § 78u(d)(3)(A)(ii). Finally, Congress added two new statutes of limitations—one governing

equitable relief generally and another expressly addressing disgorgement. See § 78u(d)(8).

B

All that brings us to this case. Ongkaruck Sripetch "'engage[d] in numerous fraudulent schemes . . . involving at least 20 penny stock companies.'" 154 F. 4th 980, 984 (CA9 2025). Some were classic "pump and dump" operations in which Mr. Sripetch and his co-conspirators obtained shares of penny-stock companies, promoted the companies to others, watched the share price rise, and then promptly sold. App. to Pet. for Cert. 25a–26a (Pet. App.). On discovering the schemes, the SEC brought a civil enforcement action against Mr. Sripetch, charging him in court with six counts of securities fraud and one count of selling unregistered securities. Mr. Sripetch consented to the entry of judgment against him and agreed that the court could order disgorgement.

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When the SEC proceeded to seek over $4.1 million in disgorgement, however, Mr. Sripetch objected. As relevant here, he argued that the SEC's request violated *Liu* for a very specific reason: The Commission lacked evidence that his schemes caused investors to suffer any "financial losses," so there were no "victims" for whom disgorgement could be awarded under *Liu*. No. 3:20–cv–01864 (SD Cal.), ECF Doc. 142–1, pp. 9–10. The SEC disagreed, arguing that investors could qualify as "victims" under *Liu* even if they lost no money. No. 3:20–cv–01864 (SD Cal.), ECF Doc. 145, pp. 2–5. And the Commission asserted that, regardless, its evidence demonstrated that investors had suffered pecuniary loss "as a result of Sripetch's wrongdoing." *Id.*, at 5–6.

The district court accepted the Commission's second argument. As it saw things, the SEC had done enough to show that Mr. Sripetch's investors had suffered pecuniary loss. Pet. App. 30a. Accordingly, the district court did not decide whether such a showing was required in the first place. *Ibid.*

When Mr. Sripetch appealed, however, the Ninth Circuit proceeded differently. Accepting the SEC's threshold argument, it held that "a finding of pecuniary harm is not required" before a court orders disgorgement. 154 F. 4th, at 985. The Ninth Circuit acknowledged that, under *Liu*, disgorgement "must be 'awarded for victims.'" 154 F. 4th, at 986 (quoting 591 U. S., at 75). But it rejected Mr. Sripetch's submission that "'victim'" must be "narrowly defined as an individual or entity that has suffered pecuniary harm." 154 F. 4th, at 986. As support, the court pointed to common law sources indicating that "a claimant seeking disgorgement need only show 'an actionable interference by the defendant with the claimant's legally protected interests.'" *Ibid.* (quoting Restatement (Third) of Restitution and Unjust Enrichment § 51(1) (2010) (Third Restatement)). Given its conclusion that the SEC did not need to show pecuniary loss at all, the court declined to decide whether the SEC had in fact "made a showing of pecuniary harm." 154 F. 4th, at 985, n. 4.

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The Ninth Circuit's decision deepened a split among the Courts of Appeals. See *id.*, at 985. While the First and Ninth Circuits have held that the SEC may obtain disgorgement without proving investors have suffered pecuniary loss, the Second Circuit has taken the opposite view. Compare *SEC* v. *Navellier & Assoc., Inc.*, 108 F. 4th 19, 41, and n. 14 (CA1 2024), and 154 F. 4th, at 985, with *SEC* v. *Govil*, 86 F. 4th 89, 106 (CA2 2023). We granted certiorari to resolve that disagreement. 607 U. S. 1120 (2026).

II

We begin with two statutory provisions, §§ 78u(d)(5) and 78u(d)(7). Enacted in 2002, § 78u(d)(5) allows the SEC to obtain "any equitable relief that may be appropriate or necessary for the benefit of investors." *Liu* held this provision permits a court to order disgorgement so long as the remedy adheres to traditional equitable principles. 591 U. S., at 85.

After *Liu*, Congress adopted § 78u(d)(7), which expressly allows the Commission to seek disgorgement in enforcement proceedings.

Before us, the parties spill much ink debating how the addition of § 78u(d)(7) affects the scope of the SEC's disgorgement powers. Mr. Sripetch contends that the same equitable constraints *Liu* held applicable to disgorgement under § 78u(d)(5) also apply under § 78u(d)(7). See Brief for Petitioner 20–21. That is so, he says, because Congress meant simply to codify *Liu* when it adopted § 78u(d)(7) and expressly authorized a disgorgement remedy for the first time. Beyond that, Mr. Sripetch argues, the primary function of Congress's work was to resolve what limitations period should apply to the SEC's disgorgement remedy after the unsettling effect *Liu* had on that question. See § 78u(d)(8).

The Commission sees things differently. It concedes that under § 78u(d)(7), as under § 78u(d)(5), the SEC may seek disgorgement of only (1) a defendant's net profits that were (2) causally connected to his unlawful conduct. See Brief for Respondent 33–35; *Liu*, 591 U. S., at 83–84, 90–92; Third Restatement § 51, Comment *f*. After all, Congress's new statutory language authorizing disgorgement permits the Commission to seek no more than the "unjust enrichment" a defendant "received . . . as a result of" his securities-law violations. § 78u(d)(3)(A)(ii). At the same time, the SEC claims that § 78u(d)(7) differs from § 78u(d)(5) in one important respect. While we held in *Liu* that disgorgement under § 78u(d)(5) must be "awarded for victims" of the defendant's securities-law violations, 591 U. S., at 79, the SEC argues this constraint does not apply when it seeks disgorgement under the new provision Congress added after *Liu*. As a result, the Commission says, in actions under § 78u(d)(7), it does not have to connect the unlawful profits it seeks to any specific victims and the government may resume its former practice of keeping disgorgement awards for itself. Brief for Respondent 35.

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To decide this case, we need not resolve that dispute. The question we face is not whether Congress's recent amendments free the SEC from the traditional equitable rule that disgorgement must be "awarded for victims." *Liu*, 591 U. S., at 79. The only question we took this case to resolve is whether the SEC must show that an investor suffered a pecuniary loss before it may secure a disgorgement remedy under either § 78u(d)(5) or § 78u(d)(7). And to answer that question, we can simply assume without deciding that disgorgement under § 78u(d)(7) remains an equitable remedy—so that it must comply with traditional equitable rules, including the rule that disgorgement must be awarded for victims. Even assuming all that to be true, we conclude that a showing of pecuniary loss is not required before an investor may qualify as a victim of an offender's wrongdoing entitled to compensation.

A

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Perhaps the easiest way to see why traditional equitable principles associated with disgorgement do not require proof of pecuniary loss is to contrast that remedy with the legal remedy of damages. Ordinarily, when a person violates the legal rights of another, a court will order the wrongdoer to pay damages measured by the "plaintiff's loss." D. Dobbs & C. Roberts, Law of Remedies: Damages–Equity–Restitution § 3.1, p. 213 (3d ed. 2018) (Dobbs). The primary goal is "to put the plaintiff in as good a position as he would have been in" absent the wrongdoer's actions. 3 S. Williston, Law of Contracts § 1338, p. 2392 (1920); see also Dobbs § 3.1, at 215 ("[D]amages is an instrument of corrective justice, an effort to put [the] plaintiff in his or her rightful position").

Historically, equity has provided a different option in certain circumstances. After a showing that the defendant interfered with the plaintiff's legally protected rights, courts sitting in equity have long issued remedies designed to "depriv[e] wrongdoers of their net profits from unlawful activity." *Liu*, 591 U. S., at 79. These remedies have taken

varying forms and gone under different names, "restitution" and "disgorgement" among them. *Ibid.* All come with important limitations. For our purposes in this case, though, only one common feature matters: Generally, the final award to the plaintiff is not measured by his loss but by the defendant's gain attributable to his wrongdoing against the plaintiff. See Dobbs § 3.1, at 213; Third Restatement § 51, Comments *f*, *h*, *i*.

The answer to this case follows from that distinction. Under traditional equitable principles, a victim seeking disgorgement of a defendant's unlawful gains does not need to prove he has "suffered a corresponding loss or," indeed, "any loss." Restatement (First) of Restitution § 1, Comment *e* (1936) (First Restatement). Instead, when a victim "has suffered an interference with protected interests," he may be entitled to "restitution of [the defendant's] wrongful gain" from that interference even when he has suffered "no measurable loss whatsoever." Third Restatement § 3, Reporter's Note *a*; *id.*, § 1, Comment *a*. The point of the remedy is for "the defendant . . . to give to the plaintiff the amount by which he has been enriched" from the wrongful invasion of the plaintiff's legally protected interests, not to compensate the plaintiff for a financial loss. First Restatement § 1, Comment *e*.

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By way of illustration, consider *Raven Red Ash Coal Co.* v. *Ball*, 185 Va. 534, 39 S. E. 2d 231 (1946). There, a company had acquired the right to mine coal from a tract of land, part of which was owned by the plaintiff. *Id.*, at 537–539, 39 S. E. 2d, at 232–233. Along with that right, the company also received an easement to cross the land, but only "'for the purpose of digging for, mining, or otherwise securing the coal'" from the tract in question. *Ibid.* The company did just that, constructing a railroad across the land and using it to transport coal. *Ibid.* But, without authorization, the company also used the railroad to transport coal from *other* tracts of land. *Ibid.* The plaintiff sued, alleging that the

company had exceeded the scope of its easement. *Ibid.* A jury agreed, awarding the plaintiff $500 even though he admitted that he had suffered "'no more damage'" than being occasionally excluded from the land when the additional coal carts happened to pass through. *Ibid.* And an appellate court affirmed the award because it represented "a fair value of the benefits" the company unjustly received from its trespass. *Id.*, at 548, 39 S. E. 2d, at 238–239. In other words, the plaintiff whose legally protected interest had been invaded was entitled to the defendant's gain from that wrongful conduct even without showing pecuniary loss.

Many other cases are of a piece. In *Corey* v. *Struve*, 170 Cal. 170, 149 P. 48 (1915), the plaintiff leased land to the defendants and granted them a limited right to "plo[w] . . . under" the tops of beets growing there for use "as a fertilizer." *Id.*, at 171, 149 P., at 48. Instead, the defendants sold the beet tops to be "eaten by . . . cattle." *Ibid.*, 149 P., at 49. The parties agreed that the plaintiff suffered no pecuniary loss because of this deviation from their deal. *Ibid.* Even so, the court ordered the defendants to turn over to the plaintiff "the proceeds of the sale of his property wrongfully made." *Id.*, at 174, 149 P., at 50. In *Edwards* v. *Lee's Adm'r*, 265 Ky. 418, 96 S. W. 2d 1028 (1936), a man opened a cave as a tourist attraction. But about a third of the cave sat under land belonging to his neighbor. *Id.*, at 420–421, 96 S. W. 2d, at 1028–1029. The court ordered the exhibitor to hand over a third of his profits to his neighbor. And it did so despite the fact the cave was inaccessible from the neighbor's property and he suffered no loss from its use as a tourist attraction. *Id.*, at 422–429, 96 S. W. 2d, at 1030–1033. In *Olwell* v. *Nye & Nissen Co.*, 26 Wash. 2d 282, 173 P. 2d 652 (1946), a court ordered the defendant to pay its profits from its unauthorized use of an automatic egg-washing machine belonging to the plaintiff—even though the plaintiff had no use for it at the time. *Id.*, at 284–286, 173 P. 2d, at 653–654. A number of our own decisions, too, proceeded

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similarly. See, *e. g.*, *Leman* v. *Krentler-Arnold Hinge Last Co.*, 284 U. S. 448, 455–457 (1932); *United States* v. *Carter*, 217 U. S. 286, 305–306 (1910).

What all these and a great many other cases have in common is this: Applying traditional equitable principles, a court ordered the defendant to disgorge the value of the gain attributable to his invasion of the plaintiff's legally protected interests without requiring a showing of pecuniary loss. And to know that much is enough to know the answer to this case. Whatever else traditional equitable principles demand, they do not require a showing of pecuniary loss before a court may issue an award of unjust profits.

B

Resisting this conclusion, Mr. Sripetch offers a variety of arguments, the most salient of which bear mention. For starters, he contends that *Liu* precludes the outcome we reach. As he reads it, that decision already announced a rule requiring the SEC to make a showing of pecuniary loss before securing disgorgement. Brief for Petitioner 15–17. We disagree. To be sure, and as Mr. Sripetch stresses, *Liu* held that disgorgement must be "awarded for victims." 591 U. S., at 79. But as we have seen, *Liu* drew this requirement from traditional equitable principles, and those principles do not demand a showing of pecuniary loss before a person may qualify as a "victim" entitled to an award of a wrongdoer's profits.

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Relatedly, Mr. Sripetch submits that allowing a court to award his victims monetary relief even when they have not suffered any pecuniary loss would be inconsistent with *Liu*'s description of disgorgement as a remedy designed to "'restor[e] the status quo.'" *Id.*, at 80 (quoting *Tull* v. *United States*, 481 U. S. 412, 424 (1987)). Again, we disagree. Perhaps in a perfect world every remedy would "restore the status quo" by putting both a wrongdoer and his victim in the same position they would have occupied absent the

wrongful conduct. But in some instances, a defendant can unjustly enrich himself even without leaving a plaintiff worse off financially. And in those instances, a court must choose between two status quos: It can either restore the defendant to his prior position by stripping him of his unjust gains, or it can allow the defendant to benefit from his misconduct because the plaintiff's financial position has not changed. And as the cases above illustrate, equity traditionally prefers the first outcome, not the second. See also *Falk* v. *Hoffman*, 233 N. Y. 199, 202, 135 N. E. 243, 244 (1922) (Cardozo, J.) ("Equity will not be overnice in balancing the efficacy of one remedy against the efficacy of another when action will baffle, and inaction may confirm, the purpose of the wrongdoer").

At bottom, Mr. Sripetch's real worry seems to be that, without a pecuniary loss requirement, the SEC might lose sight of traditional equitable principles altogether. It might, he says, try to use Congress's newly added provision in § 78u(d)(7) as a tool to resume its efforts to seek penalties for the Treasury rather than compensation for victims. Brief for Petitioner 22–23. Such a result, Mr. Sripetch reminds us, would hardly be consistent with traditional equitable principles, which never "len[d] [their] aid" to a "penalty." *Marshall*, 15 Wall., at 149; see also *Liu*, 591 U. S., at 82, 90. And, he hints, we should be on high alert for this problem given that, in this very case, the district court did not require the SEC to explain how it planned to distribute its disgorgement award to wronged investors. See Pet. App. 31a; ECF Doc. 142–1, pp. 9–10.

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This argument may proceed from a sound premise but falters in its conclusion. Should the government seek to depart from traditional equitable principles and attempt to use § 78u(d)(7) to secure penalties, it would of course proceed beyond what *Liu* held § 78u(d)(5) tolerates. 591 U. S., at 82–85. That development would raise questions about whether and to what degree § 78u(d)(7) permits deviation from equita-

ble principles, and it would invite other questions too. See, *e. g.*, *SEC* v. *Jarkesy*, 603 U. S. 109, 123–125 (2024) (holding that, when the SEC seeks penalties, the Seventh Amendment entitles the defendant to a jury trial). But none of this means, as Mr. Sripetch suggests, that we should hold the SEC's disgorgement remedy requires proof of pecuniary loss, a requirement foreign to *Liu* and to traditional equitable principles alike.

Mr. Sripetch's *amici* offer one more way still in which, they say, a decision for the SEC in this case could risk transforming disgorgement into a penalty. They point to the traditional equitable principle that disgorgement is appropriate only in cases where a defendant has violated a victim's legally protected rights. See, *e. g.*, Brief for Chamber of Commerce of the United States of America as *Amicus Curiae* 11–12 (citing Third Restatement § 51, Comment *a*). And they express concern that the Commission might try to seek disgorgement even for securities-law violations that do not invade the legally protected interests of any investor. See *id.*, at 15–20. But that worry, too, is beside the point in this case for, as it comes to us, Mr. Sripetch has not disputed that his victims "suffer[ed] a violation of their legally protected interests." 154 F. 4th, at 986, n. 6.

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Because traditional equitable principles do not require a showing of pecuniary loss to justify a disgorgement award and nothing in *Liu* teaches otherwise, the judgment of the Ninth Circuit is affirmed.

It is so ordered.

JUSTICE THOMAS, concurring.

The Court correctly holds that the Securities and Exchange Commission can seek disgorgement as a remedy for securities fraud without showing that the victims suffered pecuniary harm. The Court assumes without deciding that